

Chief Justice's Court

Case :- WRIT - C No. - 11426 of 2016

Petitioner :- Brijesh Kumar Agrawal And Another

Respondent :- State Of U.P. And 6 Others

Counsel for Petitioner :- Mayank Kumar Agrawal

Counsel for Respondent :- C.S.C., Amrendra Nath Singh, Chandan Agarwal

Hon'ble Dr. Dhananjaya Yeshwant Chandrachud, Chief Justice
Hon'ble Yashwant Varma, J.

Connect with Writ-C No. 8370 of 2016.

A recovery citation has been issued on 29 February 2016 by the Tehsildar, Dadri, District Gautam Budh Nagar for the recovery of an amount of Rs.2,07,42,167/- towards electricity dues. The recovery citation has been issued both in the name of the seventh respondent which is a private limited Company and the petitioner who is a Director of the Company. The issue in these proceedings is as to whether the recovery of electricity dues is authorized as against a person who is not the consumer but a Director of a body corporate which is the consumer.

Prima facie, it is evident from the agreement for the supply of electrical energy which is Annexure-2 to the writ petition that the consumer is the seventh respondent.

Clause 4.3 (f) (v) of the Electricity Supply Code 2005 provides for recovery proceedings against the defaulting consumer, and where the defaulting consumer is a Company, that recovery from the Directors of the Company, shall be ensured. The validity of this provision is sought to be challenged in these proceedings, as ultra vires the Electricity Act, 2003.

The basis of the challenge is that the expression 'consumer' is defined in Section 2 (15) of the Electricity Act, 2003. The submission is that where a body corporate is a consumer, recovery cannot be enforced against its Directors. Hence, it has been submitted that the subordinate legislation is ultra vires.

The issue requires consideration.

Hence, we direct that notice shall issue both to the Advocate General and to the fourth respondent. The fifth and sixth respondents have appeared through counsel.

Counter affidavit, if any, be filed within a period of four weeks from today.

In the meantime, we direct that the recovery citation shall not be enforced against the petitioner. However, this shall not restrain the enforcement of the amount due in accordance with law against the seventh respondent.

List on 28 March 2016.

Order Date :- 10.3.2016

RK

(Yashwant Varma, J) (Dr D Y Chandrachud, CJ)